CHARTERED ACCOUNTANTS ACADEMY

AUDITING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 8 - AUDIT EVIDENCE - (TEST OF CONTROLS, SUBSTANTIVE PROCEDURES & SAMPLING)

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1. INTRODUCTION

This is the third phase of the audit process. This phase focuses on gathering audit evidence through the use of tests of controls and substantive audit procedures. This is crucial to the audit as the auditor will use the audit evidence obtained in order to formulate his opinion on the fair presentation of the financial statements.

It will become clear that the auditor will obtain audit evidence by performing audit procedures which includes:

- Risk assessment procedures; and
- Further audit procedures
    - Tests of controls
    - Substantive procedures including tests of detail and substantive analytical (analytics or analytical proecures)

2. Objective of audit evidence

After studying this study unit, you should be able to:

- explain the principles that underlie the obtaining of audit evidence (ISA 500);
- assess audit risk at the assertion level for individual classes of transactions, account balances, disclosures and design an appropriate response to address the risks identified (refer to previous study unit)
- design audit procedures to gather audit evidence to respond to risks of misstatement identified in practical situations, with regard to classes of transactions, account balances, as well as the disclosures thereof;
- evaluate the audit documentation requirements per ISA 230;
- discuss the importance and reliability of external documents obtained by the auditor and their relevance as audit evidence; and
- Discuss how to approach the audit of specific areas and apply concepts and principles to a given practical situation.
- Formulate the tests of controls to be performed in assessing the operating effectiveness of the control environment.
- Discuss your concerns with regards to the tests of controls relating to the timing/ period of testing, the direction of testing, the extent of testing and planning of tests of controls.
- Identify the types of substantive procedures that should be performed for each of the business cycles.
- Critically analyse CAATs and discuss how and when to make use of CAATs.
- Differentiate between system-orientated CAATs and data-orientated CAATs

- Formulate audit procedures through the use of CAATs and /or evaluate audit procedures performed through the use of CAATs.
- Understanding various types of sampling techniques.

3. Scope

ISA 230: Audit documentation

ISA 240: The auditor's responsibilities relating to fraud in an audit of financial statements.

ISA 250: Consideration of laws and regulations in an audit of financial statements

ISA 260: Communication with those charged with governance

ISA 265: Communicating Deficiencies in Internal Control to those charged with Governance and Management

ISA 300: Planning an audit of financial statements

ISA 315: Identifying and assessing the risk of material misstatement through understanding the entity and its environment (revised).

ISA 330: The auditor's responses to assessed risks

ISA 402: Audit considerations relating to an entity using a service organisation

ISA 500: Audit evidence

ISA 501: Audit evidence – specific considerations for selected items

ISA 505: External confirmations

ISA 510: Initial audit engagements – opening balances

ISA 520: Analytical procedures

ISA 530: Audit sampling

ISA 540: Auditing accounting estimates, including fair value accounting estimates, and related disclosures

ISA 550: Related parties

ISA 580: Written representations

ISA 600: Special considerations – Audits of group financial statements (including the work of component auditors)

ISA 610: Using the work of internal auditors

ISA 620: Using the work of an auditor's expert

ISA710: Comparative information – Corresponding figures and comparative financial statements

4. Study material

- International Standards on Auditing
- International Financial Reporting Standards covered in FAR
- CAA Applied Auditing and Governance AUD 401/2 Module 1 & 2
- Auditing notes

5. Competence Framework expectation

IV-2.6 Designs effective and efficient procedures based on the engagement's scope and the assessed risks - Level X

For a given set of circumstances, decides on –

- the form, extent and quality of evidence required to support the assurance report
- the most efficient testing procedures (e.g., tests of control and/or substantive tests of detail / analytical procedures) to obtain the evidence
- the need to make use of others (experts, internal auditors, other auditors) or the need to use computer assisted audit techniques to gather evidence
- Communicates the plan to appropriate key stakeholders (including those charged with governance)

Designs and documents appropriate programmes of engagement procedures based on the above considerations

Is alert to changes in circumstances not considered in the design of the engagement procedures and adjusts the procedures appropriately

IV-2.7 Performs the work plan - Level X

Performs the procedures specified in the programme (e.g. analytical review of expenses) with due care and an objective state of mind

Applies an appropriate level of professional scepticism, remaining alert to the possibility of fraud and non-compliance with laws and regulations

Understand the need to supervise and review work of junior staff

Modifies the work plan as necessary

IV-2.8 Documents the work performed and its results Level X

Prepares documentation with sufficient detail to support the nature, timing and extent of the further audit procedures performed and the results of the procedures

For each procedure performed, ensures that the documentation provides a clear link to significant findings or issues that arose during the engagement

Evaluates the overall adequacy of documentation

6. Examination possibilities

- Can be required to describe auditing procedures
- Can be required to review the completeness of auditing procedures carried out

7. Assumed Knowledge

The following is assumed knowledge which you should already have at CTA level.

- IFRS covered and assumed in FAR
- Risk assessment
- Responding to identified audit risks
- Audit sampling

8. Integration

This topic can be integrated with risk assessments procedures.

9. Course notes

9.1. Background to audit evidence and audit procedures

An audit is performed in order to express an opinion on the fair presentation of the Annual Financial Statements. However, to be able to express this opinion, the auditor must obtain audit evidence. Therefore, to obtain audit evidence, the auditor must perform audit procedures.

So what does ISA 500 say about audit evidence:

In Paragraph 4, it states that: "The objective of the auditor is to design and perform audit procedures in such a way as to enable the auditor to obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion".

Based on the objective above, let us take a closer look at the difference between **audit evidence and audit procedures.**

Audit Evidence	Audit evidence is **sufficient appropriate** information obtained by the auditor to assist in arriving at the audit opinion. It consists of e.g. ▪ Source documents. ▪ Accounting records underlying the financial statements. ▪ Corroborating information from other sources. ▪ Reports from auditor's or management's experts,
	Sufficient audit evidence refers to: ▪ The quantity of evidence (Refer to ISA 500 par. 5 for the complete definition). ▪ The auditor's assessment of the risk of material misstatement at the planning phase will affect the quantity of the evidence to be obtained, i.e. the riskier an account, the more evidence will be required and vice versa. ▪ E.g. If you have a sample size of 30 items to test from a population of 100 items, the audit evidence would not be sufficient if you have only obtained audit evidence for 15 items.
	Appropriateness of audit evidence refers to: ▪ The quality of audit evidence, that is its relevance and reliability (Refer to ISA 500 par. 5 for the complete definition). ▪ Relevance: The evidence obtained must be relevant to the assertion that is being tested (Refer to ISA 500 par. A27-A30). i.e. Selecting purchase invoices and following it through to the accounting records will provide audit evidence concerning the completeness

	assertion, but provides no audit evidence concerning the occurrence assertion. ▪ Reliability: Refers to the source and nature of the audit evidence (Refer to ISA 500 par. A31-A33 for a discussion on the reliability of audit evidence) .i.e. Evidence developed by the auditor is more persuasive and reliable as opposed to evidence provided by the client.

Audit procedures	**Are those actions performed by the auditor in order to obtain audit evidence?** Audit procedures consists of: ▪ Risk Assessment Procedures (performed during the planning phase). ▪ Further Audit Procedures which comprise of: o Tests of controls; and o Substantive procedures including tests of details and substantive analytical procedures.

In order to obtain the audit evidence, audit procedures are performed using the following (as set out in ISA 500 par A14 to A25):

Procedure to obtain audit evidence (ISA 500)	What does the procedure involve i.to ISA 500	Example of risk assessment procedure	Example of test of control	Example of substantive procedures
Inspection	Examination of records or documents (internal and/or external). This could be in paper form, electronic form, other media, physical examination of an asset	Inspect the internal control manual of the company in order to obtain an understanding of internal controls relevant to the audit.	Inspect the bank reconciliation for the signature of the financial manager as evidence of review.	Inspect a sample of the vehicles selected from the asset register to confirm the existence of the vehicles.
Observation	Consists of looking at a process or procedure being performed by others (ISA 500 par. A17).	Observe the entity's operations with regards to production in order to obtain an understanding of the nature of the entity and its operations.	Observe the financial manager performing a comparison between the actual expenses for the month versus the budgeted figures.	*Observation is not ideal as a substantive procedure.*
External confirmation (Also refer to ISA 505)	Audit evidence obtained by the auditor as a direct written response to the auditor from a third party (in hard copy, electronically or other medium) (ISA 500 par. A18).	*Not a risk assessment procedure.*	*Not ideal as a test of control.*	Obtain an external confirmation from the bank confirming the bank balance at a certain date (e.g. year-end).
Recalculation	Checking the mathematical accuracy of documents or records (manually or electronically) (ISA 500 par. A19).	*Not a risk assessment procedure.*	*Not ideal as a test of control.*	Recalculate the electronic debtor's file to verify the mathematical accuracy thereof
Reperformance	The auditor independently executes a procedure or control that was originally performed as part of the entity's internal control (ISA 500 par. A20).	*Not a risk assessment procedure.*	Reperform the ageing of the accounts receivable and compare it to the ageing performed by management.	Reperform the bank reconciliation in order to confirm that the bank balance stated in the financial statements at year-end is valued correctly.
Analytical procedures (Also refer to ISA 500)	Evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Also encompass investigations as is necessary of identified fluctuations or relationships that are consistent with other relevant information or that differ from expected values by a significant amount (ISA 500 P21)	Perform analytical procedures on the financial statements e.g. compare the current year's financial statements to that of the prior year, in order to obtain an understanding of the entity's financial performance for the year.	*Not ideal as a test of control.*	Perform analytical procedures on sales by comparing the trend analysis of the sales figure on a monthly basis.
Inquiry	Seeking information of knowledgeable persons, both financial and non-financial, within the entity or outside the entity.	Inquire from the financial manager what the entity's selection and application of accounting policies are and if	Inquire from the financial manager what controls he/she performs on a monthly basis with regards to the bank reconciliations.	Inquire from the financial director how the fire in the factory impacted on the impairment of inventory items.

		these have changed since the prior year.		

9.2. TEST OF CONTROLS

ISA 315 requires the auditor to obtain an understanding of the accounting system and related internal controls. This requirement by the ISA is very important as it not only allows the auditor to be able to identify and assess the risk of material misstatement at the client, but it also allows the auditor to make a preliminary assessment of the operating effectiveness of controls.

Assuming that the auditor concludes that there is an expectation that controls are operating effectively at the planning phase, the auditor can then design further audit procedures based on tests of controls in order to obtain audit evidence.

ISA 330 paragraph 8 states that an auditor shall design and perform test of controls where:

- The auditors assessment of risk at the assertion level includes an expectation that the controls are operating effectively or
- Substantive procedures alone cannot provide sufficient appropriate audit evidence, i.e. the entity conducts its business using IT and no physical documents are maintained.

The operating effectiveness of a control consists of two components:

1. Design: The control can Prevent, Detect and Correct material misstatement.(this is determined at the planning stage)

2. Implementation: The control exists and the entity is using it. (this is determined through test of controls)

9.2.1. Identifying key controls – ISA 315 A73

A key control is one that will independently result in the prevention or detection of fraud or error.
These are those upon which the auditor will place reliance when testing controls.

Key controls would generally be those related to:

- Authorising documents with a signature;
- Checking documents for authorisation or accuracy and signing as evidence of this;
- Agreeing documents to one another;
- Performing sequence checks on documents;
- Any of the overall (SCRUM) controls listed in the detailed controls section; and

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- Any of the computerised controls listed in the detailed controls section.

The following are not key controls:

- Sending documents or information from one function/stage to another;
- Preparing documents; and
- Sequentially numbering documents – the actual control is performing the sequence check.

9.2.2. Identifying key controls: internal vs. external audit

Students should note that external auditors would be identifying key controls in order to place reliance on them in verifying the audit assertions whereas internal auditors would be more concerned with determining whether the internal control objectives were being met.

As a result of the significant overlap between the transactional assertions and the integrity objectives, we would expect the key controls identified by the internal and external auditors to be largely identical. However, the difference between occurrence assertion and the validity objective creates differences in focus.

When identifying key controls an external auditor would focus on controls designed to ensure that all recorded transactions were genuine. They would not, however, place reliance on controls designed to ensure that all transactions were in accordance with management policy as this is irrelevant to occurrence assertion. Therefore, the external auditor would regard controls related to the authorisation of transactions as key controls. The internal auditor, however, would regard authorisation controls as key controls because they meet the validity objective.

1. *Students should read the required carefully to determine whether they have been asked to identify all the key controls or only those related to a specified control objective.*
2. *Students should also read the scenario to determine whether they are asked to identify they key controls from the perspective of the internal auditor or from that of the external auditor.*
3. *Students should write out the key controls as fully as they are in the scenario. Simply writing "authorisation for sales", for example, would not be sufficient, whereas "management authorises sales over the credit limit" would be.*

Exam tip!!!!

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The timing of tests of controls depends on the auditors intended reliance of those controls (ISA 330 par 11). The auditor should perform tests of controls to obtain sufficient appropriate audit evidence that the controls were operating effectively at relevant times during the period under review. If the auditor tests controls at a particular time, the auditor only obtains evidence that the controls operated effectively at that time. However, if the auditor tests controls throughout the period under review, the auditor obtains audit evidence about the effectiveness of the operation of the controls throughout that period.

Important Principle
If the system of controls at the client is operating effectively, it provides reasonable assurance to the auditor that the totals and balances produced by the system are free from material misstatement.

Remember the auditor ultimately gives an opinion as to whether the financial statements are free from material misstatement. In this scenario, the auditor will still perform substantive testing; however, it will mainly comprise of analytical review procedures.

9.2.3. Designing test of controls

A properly worded test of control should address the following:	
How	This is the verb that describes the action to the performed. You will find these verbs (audit procedures) in ISA 500 par A14 to A25. The following audit procedures will most likely be used when testing a control: ▪ Inspection: A good example is the inspection of purchase order for evidence of a signature as authorisation. ▪ Observation: An example is when the auditor observes the inventory count control activities. Another example is observing a person entering his/her user ID and password. This is not the best audit procedure as there are certain inherent limitations. ▪ Reperformance: Reperforming the monthly bank reconciliation to confirm that the internal control of balancing the cash book and the balance per the bank statement has been properly carried out is an example. ▪ Inquiry: On its own, inquiry is not considered to be sufficient and therefore can be used in addition to other audit procedures (mentioned above).
What – Source of evidence	Here you should make reference to the **source document** (e.g. the purchase order on which the signature is made) and/or the **action (control)** being performed (e.g. the password being entered by the employee to gain access to the system).

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Why – evidence expected to be obtained	This describes the reason for performing a test of control. Here you state the **reason/objective** of the procedures you are performing. What do you want to achieve through the specific test of control or identify the evidence you want to obtain?

- *The auditor can only perform tests of controls, where there is an expectation that controls are operating effectively.*
- *Thus for a control to be operating effectively it means that:*
  - *A control is strong (It prevents, detects and corrects material misstatement)*
  - *A control actually exists (**You cannot test a control that is not there**)*
- *Then what about a control that does exist, but is seen to be weak, do we test such controls?*
  - *The answer is no, because by testing controls we are obtaining audit evidence and based on our understanding of audit evidence, then it is clear that such evidence would not be appropriate.*

Exam tip!!!

9.2.4. Placing reliance on controls tested in the previous audits – ISA 330 par 14

An auditor can place reliance on the results of test of control procedures and results from previous audits on the condition the following are met:

i. The control has not changed since they were last tested;
ii. The control is not a control that mitigates a significant risk; and
iii. The control should be tested at least once every third year.

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10. SUBSTANTIVE AUDIT PROCEDURES

What is a substantive procedure?
Paragraph 4 of ISA 330 defines a substantive procedure as:
"An audit procedure designed to *detect material misstatement* in the financial statements at the *assertion level*"

Substantive procedures comprise:
- Tests of details (of transactions, balances and disclosures) and
- Substantive analytical procedures.

Looking at the aspects of the definition:
1. material misstatement:
    - The ultimate aim of the auditor is to express an opinion as to the fair presentation of the financial statements.
    - Thus to express this opinion, the auditor must perform audit procedures (in this case substantive procedures) to obtain audit evidence to determine whether the amounts and disclosures in the financial statements are free from material misstatement.
    - What gives rise to misstatements:
        - Noncompliance with IFRS, Companies and Other Business Entities Act or tax legislation resulting from error or fraud.

10.1. When should substantive procedure be performed? – ISA 330 par 18

An auditor will always perform substantive procedures on an audit. This is irrespective of whether the auditor decides to perform test of controls or not.
Assuming the auditor decides to test controls, the auditor will still be required to perform substantive procedures which will most probably consist of analytical review procedures.

Where the auditor decides not to test controls, the auditor will then perform substantive procedures which will consist of tests of details and analytical review procedures.

10.2. Nature, Timing and Extent: ISA 330 par 6

Nature (ISA 330 par A9 to A10)
For detecting material misstatement at assertion level, include:
a) analytical procedures – for large volumes that tend to be predictable over time; and

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b) Tests of details – of all assertions for material classes of transactions, account balances and disclosure (ISA 330 par 18).

Timing (ISA 330 par A11 to A14)

Refers to when audit procedures are performed or the period or date at which audit evidence applies.

- When substantive procedures are performed at an interim date, the auditor should perform further substantive procedures or substantive procedures combined with tests of controls to cover the remaining period that provide a reasonable basis for extending the audit conclusions from the interim date to the date at the end of the period under review (ISA 330 par 22 and 23 and A54 to A58).

Extent (ISA 330 par A15 to A16)

Refers to the quantity of a specific audit procedure to be performed, for example, a sample size for substantive procedures or the number of observations of a control activity.

- The greater the risk of material misstatement, the greater the extent of the substantive procedures. It is necessary to increase the extent of substantive procedures if the tests on internal controls show unsatisfactory results.

10.3. Direction of testing

In order to test the occurrence and completeness of a transaction, the auditor traces the transaction from one document to the other. However, the "direction" in which he traces depends on which assertion is being tested:

1. When testing **occurrence** of the transaction the auditor is seeking evidence that all items that ended up in the financial statements actually occurred. A sample is therefore selected from the **accounting records** and traced all the way back through the series of documents to **the first document.**
2. When testing **completeness**, however, the auditor wishes to determine whether all the transactions ended up in the financial statements. A sample is therefore selected **from the first document** and traced **to the financial statements.**

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10.4. Formulating a substantive procedure

a substantive procedure should address the following:	
How - verb	This is the verb that describes the action to the performed. You will find these verbs (audit procedures) in ISA 500 par A14 to A25. The following audit procedures are likely to be used when testing an account balance or class of transactions substantively: ▪ Inspection: An example is the inspection of a bank confirmation in order to confirm that the balance on the confirmation agrees with the balance as per the financial records. ▪ External confirmation: Obtaining debtors‟ confirmation letters is a good example of an external confirmation. ▪ Recalculation: An example of this audit procedure is recalculating a schedule obtained from management setting out e.g. debtors‟ balances. This can be done manually or electronically through the use of CAATs. It is done to verify the mathematical accuracy of the schedule. ▪ Reperforming: Reperforming the calculation of a provision is an example of reperformance. This does not only entail casting the calculation but re-doing the calculation taking into account all assumptions and methods used by management. ▪ Analytical procedures: Comparing expenses incurred to budgeted expenses on a month-to-month and year-to-year basis is a good example of analytical procedures. ▪ Inquiry: An example is enquiry from the financial manager on how a certain provision was calculated and obtaining an understanding of the assumptions used.
What	A reference should be made to the relevant and reliable source(s) of evidence.
Why – audit evidence expected to be gathered	This explains the reason for performing the substantive procedures. Here you will make reference to the relevant assertion being addressed by the substantive procedures. Example: Recalculate (HOW) the bank reconciliation (WHAT) by casting (HOW) this reconciliation (WHAT) in order to ensure the mathematical accuracy thereof (WHY).

10.5. Distinction between tests of controls and substantive procedures for transactions

Because routine transactions are often subject to strict internal controls, the auditor will often decide to place reliance on these controls and to perform tests of controls. The tests of controls and substantive procedures performed on these routine transactions are very similar. However, the difference between them is the **intention** the auditor has when performing them.

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Tests of controls are performed with the intention of determining whether controls operated effectively throughout the period upon which the auditor wishes to rely on them. The auditor therefore compares what should be done according to management to what has been done. If controls have not been operating (i.e. staff has not done what they should have done) then the auditor will not be able to place reliance on these controls and will have to perform additional substantive procedures.

Substantive procedures, on the other hand, are performed in order to identify any misstatements (fraud or error) and quantify them in order to determine whether or not they are material. If material misstatements are detected then the auditor will need to modify the audit report.

10.6. Designing substantive procedures in the exam:

The following process should be used when designing substantive procedures:

1. Read the required carefully to determine whether you are required to design procedures to obtain evidence over all assertions or only over some of the assertions.

2. Read the required and the scenario to determine whether any of the procedures have been scoped out/already done.

3. Consider the IFRS requirements applicable to the balance or transaction.

4. Based on the IFRS requirements and the scenario, identify the significant risks to each of the assertions you have been asked to address.
5. Design procedures to address the significant risks.

The following may serve as a guideline of the kinds of procedure that can be used (but remember that you will need to apply these to the scenario and the required):

Assertion	**Procedures**
Substantive procedures over classes of transactions	
Occurrence	▪ Select a sample from the accounting records and trace through to the first document (e.g. select a sample from the sales journal and trace to the sales invoice, , delivery note and sales order); ▪ For sampled documents, inspect for signature by a client representative; and ▪ For sampled documents, inspect that it is made out in the client's name.

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Completeness	▪ Select a sample of first documents and trace to the accounting records (e.g. select a sample of sales orders and trace to the delivery note, sales invoice and sales journal); and ▪ For sample of documents selected, inspect for sequential numbering.
Cut-off	▪ For goods, obtain the last delivery note/goods received note of the year and note its number. o Select a sample from before and after year-end and inspect the accounts to verify that they have been recorded in the correct accounting period.
Accuracy	▪ For the sample of documents selected: o Inspect for prices/rates used and agree these to contracts/authorised price lists etc. ▪ Reperform calculations of VAT, deductions and totals (be specific); and ▪ For any transactions taking place beyond normal credit terms, reperform calculation of present value at the date of the transaction.
Classification	▪ When tracing sample of transactions to the accounts, inspect that these have been correctly classified.(e.g current assets, non-current liability).
Analytical procedures	▪ Calculate the gross profit percentage and compare to budget and prior year; ▪ Compare total value of transactions for the year and compare to budget and actual and ▪ Enquire of management regarding any significant differences.
General procedures	▪ Consider the adequacy of the system for generating financial information; ▪ Inspect minutes of meeting of board of directors and management for pertinent information; ▪ Enquire from management about any models and assumptions used (be specific based on scenario) and consider the appropriateness thereof; and ▪ Obtain a signed and dated management representation letter regarding all assertions.
Assertion	**Procedures**
Substantive procedures over year-end balances	
Existence	▪ Select a sample of assets and inspect them for physical existence; ▪ Obtain third-party confirmations regarding the existence of intangible/financial assets; ▪ Obtain third-party confirmations regarding the existence of liabilities; ▪ Verify that intangible/financial assets meet the IFRS recognition criteria by inspecting supporting documentation (e.g. contracts, technical feasibility studies, minutes of meetings etc.) or by enquiry of an expert;

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	▪ Inspect documents that support the existence of liabilities (e.g. contracts); ▪ Inspect bank statements for subsequent receipt or payment of financial assets and liabilities; and ▪ Enquire of a legal expert regarding the existence of obligation for liabilities.
Rights and obligations	▪ Enquire of management whether any assets are leased/pledged as security/held on behalf of others; ▪ Obtain confirmation from the bank that no assets are pledged as security; ▪ Enquire of management whether debtors have been factored; ▪ Inspect contracts for terms and conditions; and ▪ Inspect registration documents (e.g. title deeds, share certificates etc.) to verify that they are in the client's name.
Valuation	▪ Inspect documents (invoices, contracts, etc.) to verify the cost of assets; ▪ Inspect costing schedule to verify that transport costs, import duties, installation costs etc. have been included in the cost of assets: ▪ Inspect supporting documents to verify that these costs have been included at the correct amounts; ▪ For imported assets, obtain bank confirmation of spot rates on date of acquisition; ▪ For self-constructed and imported assets, reperform calculations of cost in dollars; ▪ Enquire of management regarding any models and assumptions used in determining allowances or in valuing assets/liabilities: ▪ Inspect any documents that support these assumptions (e.g. market data); ▪ Inspect documents that support the market value or net realisable value of assets; ▪ Reperform calculations of allowances (such as depreciation and allowance for doubtful debts) using management assumptions; ▪ Enquire of an expert regarding the valuation of assets and liabilities; ▪ Inspect physical condition of assets for any evidence of damage; ▪ Reperform calculation of fair value/net realisable value/recoverable amount; and ▪ Reperform calculation of impairment: o Inspect general ledger to verify that impairments have been correctly accounted for.
Assertion	**Procedure**
Completeness	▪ Inspect the general ledger to identify any items that meet the asset recognition criteria but that have been erroneously expensed (e.g. import duties);

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	▪ Inspect the bank statement for any unexplained payments and enquire of management of whether these amounts are for items that should be recognised as assets; and ▪ Select a sample of tangible assets from the factory or warehouse floor and inspect the accounting records to verify that they are included.
Presentation and disclosure	▪ Inspect the financial statements to verify that assets or liabilities are correctly disclosed.
Analytical Review procedures	▪ Balances can be compared to prior year; and ▪ Ratios can be calculated and compared to prior-year and industry norms.
General procedures	▪ Obtain a schedule of movements in the balance; ▪ Agree the opening balance to prior-year financial statements (where an opening balance existed); ▪ Agree the closing balance to the general ledger, trial balance and draft financial statements; ▪ Reperform the arithmetic accuracy of the schedule; ▪ Obtain a management representation letter; and ▪ Consider whether the tax treatment of the balance is appropriate.

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10.7. Integration with accounting:

In answering questions concerning audit procedures, always consider whether any specific procedures should be performed to ensure compliance with a particular accounting statement (IFRS).

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Example:

Let us assume that we have to audit Investment Property (IAS40).

- *IAS 40 provides us with the Recognition and Measurement requirements.*
- *Keep in mind that the auditor must obtain audit evidence regarding the assertions related to Investment property (Existence, Valuation, Completeness and Rights).*
- *Recognition Criteria*
  - *Tells us when we can record the Investment property.*
  - *If the recognition criterion is met and investment property is not recorded, the risk will increase for the completeness assertion.*
  - *If the recognition criterion is not met and investment property is recorded, the risk will increase for the existence and valuation assertion.*
- *Measurement Criteria*
  - *Tells us at what value should investment property be recorded at*
  - *It provides us with the initial recognition and subsequent measurement criteria.*
  - *For initial recognition, if investment property is not recorded at cost, the risk will increase for the valuation assertion.*
  - *Similarly if the subsequent measurement criterion (depreciation, revaluation, fair value etc.) is not complied with, this will also increase the risk for the valuation assertion.*

10.8. Common students' omissions

Candidates often tend to leave out the following issues. Useful memory aids are "the 3 S's", "the 4 A's", "MEAT" and "CRAP?"	
The 3 S'	▪ **Schedule** – Obtaining a schedule from the client (typically for year-end balances). ▪ **Sample** – Selecting a sample and how the sample is to be selected. Typical samples would be: I. A random sample for a test of controls; II. A sample biased towards high monetaryvalues for verifying assets; and III. A sample including all known major suppliers for accounts payable. ▪ **System** – Considering the **system** (general observations concerning the system are unlikely to be relevant for transactions work as your solution should include details of tests of controls. This issue is, however, very relevant for 1 mark when doing **year end work, for example**, when

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	auditing accounts receivable, one would, as a minimum, "review audit working papers for tests of controls to provide evidence for the completeness assertion on sales and accounts receivable". One might also review tests of controls directed at the other assertions and reduce year-end substantive work accordingly.
The 4 A's	▪ Accounting issues; ▪ Analytical review procedures (pertinent to both transactions and balances); ▪ Arithmetical accuracy (also pertinent to both transactions and balances); and ▪ Allowances – such as allowances for obsolete inventory, doubtful debts, etc. A year-end test, but also relevant to transactions work in that reversing entries such as credit notes apply.
MEAT	▪ **Management accounting**. One should realise that things like standard costing could affect the valuation of the inventory ▪ **Experts**. Do you need an expert to assist with the audit work? What kind of expert? Refer to ISA 620. ▪ **Adjustment.** Have you checked any adjusting entries? Consider the possibility that an adjusting entry has not been passed. This then becomes an audit difference and the audit procedure is to evaluate any unadjusted audit differences. ▪ **Tax**. Often you can also gather one or two additional marks by auditing the tax aspects of the item under audit. Refer to illustrations section of these notes for examples.
CRAP	▪ **Cut off** – a year end test, but the corresponding transactions procedure is to check that an entry is recorded in the correct period. ▪ **Management representation letter:** You must remember that it should be signed and you should also state why it is needed. If you do not state why it is needed, NO marks will be awarded. ▪ **Agree** the total of individual balances to the control account and to the financial statements. (This would be for year-end work. In regard to transactions work, check an entry all the way to the posting to the general ledger.) ▪ **Present value** – Did you reperform any necessary present value computations and did you review the reasonability of the discount rate used?

Common pitfalls:

1. When asked to "describe audit procedures", candidates tend to use terms such as "ensure that", "look at", "ascertain". Note that none of these terms describes a procedure. You should notice the frequency with which the authors use more descriptive terms such as

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"confirm", "inspect" and "reperform". As far as possible, your sentences should commence with an "action word" such as "inspect", "reperform" and "enquire".

2. When faced with auditing an accounting issue, candidates tend to list the requirements of the applicable IFRS/IAS Statement. As is illustrated above, you should rather describe a procedure that gathers evidence concerning compliance with the accounting statement.

3. Candidates often use too many generic phrases such as "inspect the supporting documents" or "perform analytical reviews". You should note how the authors refer to specific documents such as invoices, reconciliations, title deeds, etc. In regard to analytical reviews, you should note in the tutorials how the authors give examples, describe specific review procedures.

4. Students use "confirm by inspection", which is inappropriate as it implies a mix of two procedures – "Confirmation, implying written confirmation from a third party", and "Inspection" implying inspection of the related document.

5. Concerning provisions/allowances, candidates often fail to cover all of the issues. Students should consider all the models, assumptions, inputs and calculations used to determine these amounts. They should then design procedures to test all of these. They should also perform analytical review procedures on the allowances.

6. The procedures referred to under "common student omissions" are frequently lacking.

10.9. The use of CAATs in audit procedures:

There are two types of Computer Aided Audit Technique (CAAT) available to the auditor. These can be used when performing audit procedures in a computerised environment:

1. Systems oriented CAATs (used mainly for testing controls); and
2. Data oriented CAATS (used mainly in performing substantive procedures).

Systems CAATs:

Two types of systems CAAT can be used: test data and embedded techniques.

- Test data can be used to process a set of data through the computer system and evaluate the output at a given point in time. It is used to test automated computer controls. The auditor inputs valid and invalid data into the system and verifies that the system has correctly dealt with it by, for example, blocking invalid data. Test data is easy to use but can only be used to verify that controls were operating on the date of testing, not the whole year.

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- Embedded techniques are audit software routines embedded into the client's software. They are similar to data CAATs, but instead of taking place at a specific date they feed data through the client's system on a continual basis. This has the benefit of testing the entire accounting period.

10.10. Using system CAATs to test controls:

When designing systems CAATs to test automated controls, students should follow the following procedure:

- Identify the inputs that will be entered into the system, e.g. overtime hours;

- Identify what input data would be valid and what data would be invalid. For example, overtime hours greater than the maximum overtime allowed would be invalid data; and

- State that you would run both valid and invalid data through the client's system and compare the output to the expected output. You would expect valid data to be processed properly and invalid data to be rejected or to appear on an exception report.

Note: students should be specific when describing valid and invalid detail, and should state exactly what would constitute "invalid data".

Exam tip!!!

10.11. Data CAATs ("Audit retrieval software")

Data CAATs are computer programmes that manipulate the computerised data on a client's system. Data CAATS can be used to do the following:

a) Compute or recalculate amounts;
b) Generate exception reports (i.e. identify data that meets certain "error" criteria);
c) Compare data in different files;
d) Calculate ratios for use in analytical review procedures;
e) Select random samples of items to be audited;
f) Select exceptional or material items; and
g) Reconstruct audit trails for inspection.

10.11.1. Using data CAATs to perform substantive testing

When students are asked how they would use CAATs in performing audit procedures, they should do the following:

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- Consider what procedures they would normally do for the given balance or transaction;
- Consider whether CAATs can be used to do these procedures instead;
- If so, state what the CAAT will do and how you will use the output;
- Consider whether you have used all the basic CAAT functions listed in the overview above. If not, design a procedure using these; and
- If the question includes a list of data fields stored on the system, ensure that the CAAT has retrieved data from all relevant fields.

An example of how you would apply this thought process for inventory is shown below:

Assertion	**Outline of "Normal" audit procedures.**	**Use of CAATs**
Existence	Attend inventory count and perform test counts.	Sort the data into high and low value items and select samples for test counts. Select a sample of transactions processed to the inventory records for inspection of documentation.
Ownership	Enquiry	CAAT cannot help
Accuracy	Agree cost to invoices	Select a sample of purchase transactions for inspection of invoices.
	Check calculation of cost and casts of inventory records.	CAAT cannot do this
Valuation	Select slow moving items and investigate	Select items with no movement for xx months.
	Compare cost to selling price and check NRV.	Print out details of all items where cost exceeds selling price.
Completeness	Check sequence of transactions.	CAAT can do this.
	Perform test counts from the floor.	CAAT cannot do this.
Presentation and disclosure	Reperform	CAAT cannot do this.
Other "standard procedures:	**"C"** Cut-off	Select sample of transactions around the year-end.
	"R" Obtain representation	CAAT cannot do this
	"A" Agree to general ledger	Calculate total of inventories
	"A" Check arithmetic	CAAT did this already
	"A" Analytical review	Compare balances to prior periods

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		Review inventory records for abnormal items such as negative prices, negative quantities, missing fields, etc.

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Exam tip!!!

Students often make the following errors:

- *Describing both systems and data CAATs when asked how they would use "audit retrieval software" (a form of data CAAT); and*
- *Not giving enough detail with regards to exception reports. Students must state exactly what error criteria they would identify, e.g. duplicate invoice numbers. (Refer to section of internal control systems for examples of exception reports.)*

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11. ISA 540: AUDIT SAMPLING

Introduction

The objective of the auditor when using audit sampling, is to provide a reasonable basis for the auditor to draw conclusions about the population from which the sample is selected. (ISA 530 par 4). Auditing standards recognize and permit both statistical and non-statistical methods of audit sampling.

In practice technological advances have reduced the number of times auditors need to apply sampling techniques to gather audit evidence due to the following:

1. Development of well controlled, automated accounting systems; and
2. Advent of powerful PC audit software to download and examine client data.

However, technology will never eliminate the need for auditors to rely on sampling to some degree because:

- Many control processes require human involvement.
- Many testing procedures require the auditor to physically examine an asset.
- In many cases auditors are required to obtain and examine evidence from third parties.

11.1. Key Definitions (ISA 540 par 5)

Audit sampling (sampling)	The application of audit procedures **to less than 100%** of items within a population of audit relevance such that all sampling units have a chance of selection in order to provide the auditor with a reasonable basis on which to draw conclusions about the entire population.
Population	The entire set of data from which a sample is selected and about which the auditor wishes to draw conclusions. E.g. the accounts receivable balance of $200,000 will be the population.
Sampling risk	The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. Sampling risk can lead to two types of erroneous conclusions: (i) In the case of test of controls, that controls are more effective than they actually are, or in the case of test of details, that a material misstatement does not exist when in actual fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion. (ii) In the case of a test of controls, that controls are less effective than they actually are, or in the case of a test of

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	details, that a material misstatement exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect.
Sampling Unit	The individual items constituting a population. Sampling units might be physical items (for example, checks listed on deposit slips, sales invoices or monetary units (for example $ value).
Statistical sampling	An approach to sampling that has the following characteristics: (i) Random selection of the sample items; and (ii) The use of probability theory to evaluate sample results, including measurement of sampling risk. Therefore, a sampling approach that does not have the above characteristics is considered non-statistical sampling.
Stratification	The process of dividing a population into subpopulations, each of which is a group of sampling units which have similar characteristics (often monetary value).
Tolerable misstatement	A monetary amount set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the monetary amount set by the auditor is not exceeded by the actual misstatement in the population. Tolerable misstatement is the application of **performance materiality** to a particular sampling procedure and it may be the same amount or an amount lower than performance materiality. *This is only applied when performing test of detail procedures.*
Tolerable rate of deviation	A rate of deviation from prescribed internal control procedures set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the rate of deviation set by the auditor is not exceeded by the actual rate of deviation in the population. *As you can see tolerable rate of deviation is only applied when an auditor is performing test of control procedures.*

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11.2. Gathering Audit Evidence: To sample or not?

Relationship between Evidence Types and Audit Sampling	
Type of Evidence	**Audit Sampling Commonly Used**
Inspection of tangible assets	Yes
Inspection of records or documents	Yes
Reperformance	Yes
Recalculation	Yes
Confirmation	Yes
Analytical procedures	No
Scanning	No
Inquiry	No
Observation	No

Examples

- Inspection of tangible assets. Auditors typically attend the client's year-end inventory count. When there are a large number of items in inventory, the auditor will select a sample to physically inspect and count.
- Inspection of records or documents. Certain controls may require the matching of documents. The activity may take place many times a day. The auditor may gather evidence on the effectiveness of the control by testing a sample of the document packages.
- Confirmation. Rather than confirm all customer account receivable balances, the auditor may select a sample of customers.

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11.3. Sample sizes (par 7 and A10-A11)

Ordinarily the level of sampling risk that the auditor is willing to accept affects the sample size required. For example, the lower the risk the auditor is willing to accept, the greater the sample size will need to be. In practice sample sizes are affected by the following:

1. The desired level of assurance in the results (or confidence level)
   Confidence level is the complement of sampling risk. The auditor may set sampling risk for a particular sampling application **at 5 per cent**, which results in a confidence level of **95 per cent.**
2. Acceptable defect rate (or tolerable rate of deviation or tolerable misstatement)
   Once the desired confidence level is established, the sample size is determined largely by how much the tolerable rate of deviation/misstatement exceeds expected error.
3. The historical defect rate (or expected error).

Exam tip: Sample size quantifies the number of items the auditor will test from the entire population

Examples of factors influencing sample size for tests of controls: ISA 530 Appendix 2

Factor	Effect on sample size	Explanation
An increase in the extent to which the auditor's risk assessment takes into account relevant controls.	Increase	The more assurance the auditor intends to obtain from the operating effectiveness of controls, the lower the auditor's assessment of the risk of material misstatement will be, and the larger the sample size will need to be when the auditor performs tests of controls.
An increase in the tolerable rate of deviation	Decrease	The lower the tolerable rate of deviation, the larger the sample size needs to be.
An increase in the expected rate of deviation of the population to be tested	Increase	The higher the expected rate of deviation, the larger the sample size needs to be so that the auditor is in a position to make a reasonable estimate of the actual rate of deviation.
An increase in the auditor's desired confidence level that the tolerable rate of deviation is not exceeded by the actual rate of deviation in the population.	Increase	The greater the level of assurance that the auditor desires that the results of the sample are in fact indicative of the actual incidence of deviation in the population, the larger the sample size needs to be.
An increase in the number of sampling units in the Population.	Negligible effect	For large populations, the actual size of the population has little, if any, effect on sample size. For small populations however, audit sampling may not be as efficient as alternative means of obtaining sufficient appropriate audit evidence.

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11.4. Examples of factors influencing sample size for tests of details: ISA 530 Appendix 3

Factor	Effect on sample size	Explanation
An increase in the auditor's assessment of the risk of material misstatement	Increase	The higher the auditor's assessment of the risk of material misstatement, the larger the sample size needs to be.
An increase in the use of other substantive procedures directed at the same assertion.	Decrease	The more the auditor is relying on other substantive procedures (tests of details or substantive analytical procedures) to reduce to an acceptable level the detection risk regarding a particular population, the less assurance the auditor will require from sampling and, therefore, the smaller the sample size can be.
An increase in the auditor's desired level of assurance (**confidence level**) that tolerable misstatement is not exceeded by actual misstatement in the population.	Increase	The greater the level of assurance that the auditor requires that the results of the sample are in fact indicative of the actual amount of misstatement in the population, the larger the sample size needs to be.
An increase in tolerable misstatement	Decrease	The lower the tolerable misstatement, the larger the sample size needs to be.
An increase in the amount of misstatement the auditor expects to find in the population	Increase	The greater the amount of misstatement the auditor expects to find in the population, the larger the sample size needs to be in order to make a reasonable estimate of the actual amount of misstatement in the population.
The number of sampling units in the population	Negligible effect	For large populations, the actual size of the population has little, if any, effect on sample size. However, when using monetary unit sampling, an increase in the monetary value of the population increases sample size, unless this is offset by a proportional increase in materiality for the financial statements as a whole [and, if applicable, materiality level or levels for particular classes of transactions, account balances or disclosures].

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11.5. Sample selection Methods

Once the sample size has been determined the next stage will now be selecting the actual items to test. For example, if the population is made up of 500 items and the sample size for testing has been determined to be 20, the auditor will now need to determine the method to use in selecting these 20 items from the entire population.

The principal methods that are commonly used are as follows:

a) **Random selection (**applied through random number generators, for example random number tables). Using this sample selection method every item in the population has the same probability of being selected as every other sampling unit in the population.

b) **Systematic selection**, in which the number of sampling units in the population is divided by the sample size to give a sampling interval, for example 50, and having determined a starting point within the first 50, each 50th sampling unit thereafter is selected. Although the starting point may be determined haphazardly, the sample is more likely to be truly random if it is determined by use of a computerized random number generator or random number tables. When using systematic selection, the auditor would need to determine that sampling units within the population are not structured in such a way that the sampling interval corresponds with a particular pattern in the population.

c) **Monetary Unit Sampling** is a type of **value-weighted selection** in which sample sizes, selection and evaluation results in a conclusion on monetary amounts.

d) **Haphazard selection,** in which the auditor selects the sample without following a structured technique. Although no structured technique is used, the auditor would nonetheless avoid any conscious bias or predictability (for example, avoiding difficult to locate items, or always choosing or avoiding the first or last entries on a page) and thus attempt to ensure that all items in the population have a chance of selection. *Haphazard selection is not appropriate when using statistical sampling.*

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11.6. Types of Audit Sampling

1. Non-statistical

In non-statistical sampling, the auditor does not use statistical techniques to determine sample size, select the sample items, or measure sampling risk.

2. Statistical

Statistical sampling uses the laws of probability to compute sample size and evaluate the sample results. The auditor is able to use the most efficient sample size and quantify sampling risk.

Statistical Sampling Techniques

(i) Attribute Sampling.

Used to estimate the proportion of a population that possess a specified characteristic. The most common use of attribute sampling is for tests of controls. E.g. client's controls require that sales are authorised for credit approval-

The auditor plans a test of that control using attribute sampling

(ii) Monetary-Unit Sampling.

Monetary-unit sampling uses attribute sampling theory to estimate the monetary (e.g. in $) amount of misstatement for a class of transactions or an account balance.

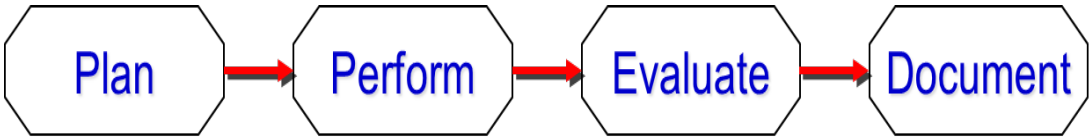
(iii) Classical Variable Sampling (Not tested)

(iv) Discovery Sampling (Not tested)

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11.7. Example 1: Attribute Sampling Applied to Tests of Controls

In conducting a statistical sample for test of controls, auditing standards require the auditor to properly plan, perform, and evaluate the sampling application and to adequately document each phase of the sampling application.



Stage 1: Planning

Planning
1. Determine the test objectives *The **objective** of attribute sampling when used for tests of controls is to evaluate the **operating effectiveness** of the internal control.*
2. Define the population Characteristics: a. Define the sampling population: *All of the items that constitute the class of transactions make up the **sampling population**.* b. Define the sampling unit: *Each sampling unit makes up one item in the population. The sampling unit should be defined in relation to the specific control being tested.* c. Define the control deviation conditions: *A deviation is a departure from adequate performance of the internal control.*
3. Determine the sample size using the following inputs: a. The desired confidence level *The confidence level is the desired level of assurance that the sample results will support a conclusion that the control is functioning effectively. Generally, when the auditor has decided to rely on controls, the confidence level is set at 90% or 95%. This means the auditor is willing to accept a 10% or 5% risk of accepting the control as effective when it is not.* b. The tolerable deviation rate *The tolerable deviation rate is the maximum deviation rate from a prescribed control that the auditor is willing to accept and still consider the control effective.* c. The expected population deviation rate *The expected population deviation rate is the rate the auditor expects to exist in the population. The larger the expected population deviation rate, the larger the sample size must be, all else equal.*

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Stage 2: Performance and Evaluation

Performance and Evaluation
4. Select sample items to test using either of the following methods: a. Random number selection b. Systematic selection
5. Perform the audit procedures: *For example, assume a sales invoice should not be prepared unless there is a related shipping document. If the shipping document is present, there is evidence the control is working properly. If the shipping document is not present a control deviation exists.* a. Voided documents; b. Unused or inapplicable documents; *Unless the auditor finds something unusual about either of these items, they should be replaced with a new sample item.* c. Inability to examine a sample item *If the auditor is unable to examine a document or to use an alternative procedure to test the control, the sample item is a deviation for purposes of evaluating the sample results.* d. Stopping the test before completion *If a large number of deviations are detected early in the tests of controls, the auditor should consider stopping the test, as soon as it is clear that the results of the test will not support the planned assessed level of control risk.*
6. Calculate the sample deviation and upper deviation rates *After completing the audit procedures, the auditor summarizes the deviations for each control tested and evaluates the results. For example, if the auditor discovered two deviations in a sample of 50, the deviation rate in the sample would be 4% (2 ÷ 50).* *The upper deviation rate is the sum of the sample deviation rate and an appropriate allowance for sampling risk.*
7. Draw Final Conclusions *The auditor compares the tolerable deviation rate to the computed upper deviation rate.*

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11.8. Example 2: Monetary Unit Sampling

MUS uses attribute-sampling theory to express a conclusion in monetary amounts (e.g. in Dollars or other currency) rather than as a rate of occurrence. It is commonly used by auditors to test accounts such as accounts receivable, loans receivable, investment securities and inventory.

MUS uses attribute-sampling theory (used primarily to test controls) to estimate the percentage of monetary units in a population that might be misstated and then multiplies this percentage by an estimate of how much the Dollars are misstated.

Stage 1: Planning

Planning
1. Determine the test objectives *Sampling may be used for substantive testing to:* *a. Test the reasonableness of assertions about a financial statement amount (i.e. is the amount fairly stated). This is the most common use of sampling for substantive testing.* *b. Develop an estimate of some amount.*
2. Define the population Characteristics: a. Define the sampling population: *For MUS the population is defined as the monetary value of an account balance, such as accounts receivable, investment securities or inventory.* *b.* Define the sampling unit: *An individual dollar represents the sampling unit.* c. Define a misstatement: *A misstatement is defined as the difference between monetary amounts in the client's records and amounts supported by audit evidence.*
3. Determine the sample size using the following inputs: a. The desired confidence level b. The tolerable misstatement *c.* The expected population misstatement *d.* Population size

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Stage 2: Performance and Evaluation

Performance and Evaluation

4. Select sample items to test:
   The auditor selects a sample for MUS by using a systematic selection approach called probability-proportionate-to-size selection. The sampling interval can be determined by dividing the book value of the population by the sample size. Each individual euro in the population has an equal chance of being selected and items or 'logical units' greater than the interval will always be selected.

   Assume a client's book value of accounts receivable is R2, 500,000, and the auditor determined a sample size of 93. The sampling interval will be R26, 882 (R2, 500,000 ÷ 93). The random number selected is R3,977 the auditor would select the following items for testing:

Account	Balance	Cumulative Euros	Sample Item	
1001 Ace Emergency Centre	R 2,350	R 2,350		
1002 Admington Hospital	15,495	17,845	R 3,977	(1)
1003 Jess Base	945	18,780		
1004 Good Hospital Corp.	21,893	40,673	30,859	(2)
1005 Jen Mara Corp.	3,968	44,641		
1006 Axa Corp.	32,549	77,190	57,741	(3)
1007 Green River Mfg.	2,246	79,436		
1008 Bead Hospital Centres	11,860	91,306	84,623	(4)
•	•	•	•	
•	•	•	•	
1213 Andrew Call Medical	-	2,472,032		
1214 Lilly Health	26,945	2,498,977	2,477,121	(93)
1215 Janyne Ann Corp.	1,023	R 2,500,000		
Total Accounts Receivable	R 2,500,000			

R 3,977
26,882
R 30,859

5. Perform the audit procedures:
   After the sample items have been selected, the auditor conducts the planned audit procedures on the logical units containing the selected euro sampling units.

6. Calculate the projected misstatement and the upper limit on misstatement
   The misstatements detected in the sample must be projected to the population.

7. Draw Final Conclusions
   In our example, the final decision is whether the accounts receivable balance is materially misstated or not.

   We compare the tolerable misstatement to the upper misstatement limit. If the upper misstatement limit is less than or equal to the tolerable misstatement, we conclude that the balance is not materially misstated.

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12. QUESTION: TEST OF CONTROLS AND SUBSTANTIVE PROCEDURES

Delights Limited

Morar Audit Chartered Accountants (Morar Audit), a firm of registered auditors with offices country-wide, have been the auditors of Davnan Delights Limited ("Davnan") since the company's incorporation.

Davnan is listed on the ZSE and has been trading for the past 10 years. The company's main business is the sale of a variety of drinkable coffee products. Davnan's strategy is to be the leader in the instant coffee industry, selling their premium quality instant coffee products nationally. Davnan's instant coffee products are not made from any coffee concentrates, but rather from freshly ground coffee beans, which are sourced from areas across the globe where the world's finest premium gourmet coffees are produced, as revered by coffee connoisseurs.

Ms R Mahomed has recently been promoted from manager on this engagement to partner. This will be her first engagement as a partner although she has much experience with Davnan.

The previous engagement partner, Barney Stinson, was requested by Morar to take leave– while the firm decides an appropriate course of action. This request arose after Barney's affiliation to a questionable online dating site was publically revealed through an online hacking attack. Unfortunately, Barney used a Morar Audit email address in his registration to the site which the partners are concerned may have harmed the reputation of Morar Audit.

Overall materiality for the 2021audit of the Davnan group has been set at an amount of $1.2 million, and performance materiality at an amount of $900 000.

The following information has been provided to you from the Morar Audit working papers:

Reference	***Working Papers***
DD1	Obtaining an understanding of the entity and its environment
EB 23	Revenue and receivables process
EB30	Audit of trade receivables - Debtors circularisation
DD43	Inspect minutes of meetings

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EB30	MORAR AUDIT		
Working Paper and Title:	EB 30 – Audit of trade receivables - Debtors circularisation		
Client:	Davnan Delights Ltd	**Year End:**	30-Sep-21
Prepared By:	AB Candidate	**Date:**	21-Nov-21
Reviewed By:	R. Mahomed	**Date:**	30- Nov-21

Procedures performed to obtain sample selection of debtors' circularisation

1. Obtained the debtors detailed listing from the client.
2. Used Excel to filter the debtor's value column for any amounts greater than half of materiality level. This brought the number of debtors down from 9876 to just 127.
3. Used the 127 debtors which appeared on that list to populate the firm's template for "Request for Confirmation" with the appropriate amount owed by the debtor and sent the Requests to the debtors.

Results from circularisation

1. The majority of debtors did reply – there were only 13 non-responses. I went back to my Excel list and took the next 13 on the list to make up for these non-responses (all of which did reply with confirmations).
2. Of the other 114 whom replied, most confirmed their balances per the confirmation request.
3. Replies which were in disagreement with the amount per the listing revealed only small differences ($12 325) which were explained by the client as payment timing issues.
4. As a sample was taken, all the small differences were accumulated and extrapolated to determine the proposed correction required. The following workings were used to calculate this amount:

   Sample rate 1.29% = 127/9876
   Net differences $12 325
   Extrapolated $958 423 = net diff/sample rate
5. The proposed journal entry therefore, is the following:

   Dr. Sales 958 423
   Cr. Debtors 958 423

Conclusion:

If the client does not process the above correcting journal entry, then the debtors balance is overstated by a material amount.

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Required:

a) In relation to the audit procedures of Davnan Delights Ltd performed in working paper *EB30 – Audit of trade receivables - Debtors circularisation*; prepare a note addressed to the audit staff member AB Candidate covering the following:

i. What initial and other procedures are necessary after obtaining the detailed listing from the client, but before actually making the sample selection? Explain why each procedure is necessary linking to underlying assertions where appropriate. **(6 marks)**

ii. Explain why the sample selection used for the debtors' circularisation is inappropriate. **(5 marks)**

iii. Suggest a more efficient method of testing, as compared to debtors circularisations, to obtain audit evidence over the existence of the debtors balance of Davnan Delights, explaining why this method is preferable. **(4 marks)**

iv. Explain whether the conclusions of the testing and the proposed correcting journal entry are appropriate. **(5 marks)**

Solution:

	PART E (i)	
	Additional Procedure	
1	Cast the listing to confirm that the total is mathematically accurate. This will ensure that the list being used for the sample selection is accurate (Accuracy).	1
2	Agree the total of the listing obtained to the total Debtors balance per the Financial Statements. This will confirm that the listing being used is a complete record of all debtors (completeness)	1
3	Extract a listing of any debtors which might have negative balances ('unusual items'). This will ensure that the listing being used is made up of only debtors and not creditors, ensuring the correct classification of individual accounts.	1
4	Request a debtors ageing listing from the client and agree the total to the debtors listing. This will assist in selecting long-outstanding debtors in the sample.	1
5	Perform an analytical test of the count of debtors as compared to the previous year. This will aid in gaining evidence over both completeness and existence of the debtors on the listing (depending on the outcome of the test).	1
6	Perform an analytical test of each debtors balance as compared to the previous year. This will provide information about valuation and completeness of the individual balances.	1
7	Perform an analytical test of the ratio of the total debtors' balance to the total sales compared to prior years. This will provide evidence over all assertions – dependent on the outcome of the test.	1
8	Discussions with management about the movements noted above. This will address all the assertions relevant as above.	1
	POSSIBLE	**8**
	MAXIMUM	**6**

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	PART E (ii)	
	Why the sample selection made for debtors circularization is inappropriate?	
1	The sample selection was made by identifying high value items – which were above the half of the materiality level – this seems to be an arbitrary level chosen.	1
2	To use such a large number (as the testing threshold) would likely increase detection risk since there is a high likelihood that the aggregate misstatement of those items not included in the sample could easily exceed the performance materiality level.	1
3	No consideration was given to the marginal evidence obtained from testing debtors beyond the top 10.	1
4	It appears that the debtors' book is largely homogenous – thousands of low value debtors – and yet the sampling approach was one of targeting items for high value only which is not justifiable.	1
5	A statistical sample would have been necessary to test the remaining 9700 debtors as these have been completely disregarded.	1
6	To perform a circularisation of 127 debtors is large audit effort – especially considering there are much better methods of gaining the evidence over debtor existence – as evidenced in part (iii).	1
7	No items were included in the sample to test for unpredictability, which increases detection risk.	1
8	The only consideration was that of existence, identifying high value items in order to gain maximum coverage over the balance, however in order to test completeness as the secondary risk, some low/no value items should have also been included in the sample.	1
	POSSIBLE	**8**
	MAXIMUM	**5**

	PART E (iii)	
	Suggest a more efficient method of testing, explaining why this method is preferable.	
1	The business model of the client is one which is likely to give rise to many smaller value debtors and it is likely that they will not confirm an outstanding balance so the expectation of the response rate is likely to be low.	1
2	The debtors' book probably represents the most recent month's outstanding amounts, and many debtors even have debit orders. This further reduces the likelihood of a high response rate to a circularisation.	1
3	A better approach would have been to test the subsequent payments which are likely to take place within a month of year end.	1

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4	Not only will this be significantly easier, it would likely give evidence over both existence and valuation of the entire receivable balance (unless a debtor owes more than one month).	1
5	Since some debtors have debit orders, a procedure to test these balances would therefore be a simple matter of matching the reference number at the end of the month.	1
6	Testing debtors using predominantly analytical procedures would have been appropriate since there is likely to be a very close correlation between the sales amount and the total debtors' value per month.	1
	POSSIBLE	**6**
	MAXIMUM	**4**

	PART E (iv)	
	Explain why the conclusions and the proposed correcting JE are inappropriate.	
1	It is inappropriate to replace non-responses with other items from the population – effectively these non-responses have been disregarded. A further follow-up should have been performed.	1
2	The comment in the working paper that "only 13 non-responses" indicates that the trainee did not apply his mind – as this would amount to more than 10% of the sample which is clearly not trivial.	1
3	The timing differences which were "explained by the client" have not been documented appropriately, and it appears that no professional skepticism or judgement was applied to these differences.	1
4	The journal entry uses the "net difference" and extrapolates that across the entire population – this is not appropriate because the sample selection was not made statistically.	1
5	The differences noted stem from high value debtors – yet these differences have now been applied across the whole population, for which the individual balances are significantly lower.	1
6	There should be no projection/extrapolation of errors within the sample selected. The difference should be posted to the schedule of overs and unders at the actual differences noted.	1
7	Other considerations are necessary for the balances relating to the remaining homogenous population.	1
8	The conclusion that the debtors balance is overstated by a material amount is also not factually correct as the overall level, which is used to determine the materiality of errors in concluding the audit, is actually $1.2m.	1
	POSSIBLE	**8**
	MAXIMUM	**5**

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Scenario Please refer to study unit C last question – GoodLife

Required		Marks
d	Describe the risks at assertion level in GoodLife's financial statements for the year ended 31 March 2021, evident from the information provided in WP A-100 and the extract of the 2021 draft financial statements. i. Medical and other equipment – **6 marks** ii. Bonds; - **3 marks** iii. Assets held for sale; and – **3 marks** iv. Inventory – **5 marks**	17
f	Describe the substantive procedures to be performed in respect of the 2018 audit of GoodLife for the following: i. The **valuation** of the new MRI machine purchased from India; - **10 marks** ii. Asset held for sale; and – **5 marks** iii. Bond balances. – **4 marks**	19
g (ii)	With reference to the stock count instructions provided: Describe the substantive procedures you would perform during the stock count over GoodLife's inventory balances. – **10 marks**	10

Solution

d	**Describe the risks at assertion level in GoodLife's financial statements for the year ended 31 March 2018, evident from the information provided in WP A-100 and the extract of the 2018 draft financial statements.**	**Marks**
	i. Medical and other equipment and FEC	
	There is risk that the Magnetic Resonance Imaging (MRI) scanning machine purchased from India • Was recognised in Goodlife books on a different date to when it was loaded FOB (occurrence/rights). • Cost that should be capitalised in terms of IFRSs will be not be capitalised e.g. transport cost, insurance, import duty etc. (valuation). • Cost that should be expensed as per IFRSs will be capitalised e.g. commissioning costs, VAT etc (valuation). • Different spot rate to the one when the MRI was loaded FOB might be used (valuation). • The MRI might be damaged when received from India and impairment as per IAS 36 might not have been provided for (valuation).	**1** **1** **1** **1** **1** **1** **1** **1** **1**

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	• Different date from the one when the MRI was brought in use might be used thereby leading to incorrect depreciation (valuation). • FEC might be wrongly classified as fair value hedge instead of cash flow hedge (classification). • FEC adjustments after the transaction date might be incorrectly debited/credited to the FCTR (OCI) instead of being a profit or loss adjustment (valuation). • Foreign exchange gain/loss on the foreign creditor might be calculated incorrectly (valuation).	
	Maximum	**6**
	ii. Bonds	
	Due to complexities associated with financial instruments accounting there is risk that – • Bonds might be incorrectly classified for measurement purposes as per IFRS 9. • Incorrect effective interest rate might be used (valuation). • No allowance for expected credit loss allowance (ECLA) will be provided as per IFRS 9 (valuation). • The interest income on the bonds may be recognised in the incorrect period as date of interest payments may not correspond with date of accrual.	**1** **1** **1** **1**
	Maximum	**3**
	iii. Assets held for sale (AHFS)	
	The following risks arises – • Depreciation on AHFS might be provided for the whole year instead of up to 31 January 2018 (valuation). • On date of classification the AHFS might not be derecognised from IAS 16 (PPE) - The AHFS might not have been recorded at the fair value less cost to sale of $115 000 (valuation). - Impairment loss of $45 000 ($160 000 - $115 000) might not be raised (valuation). • At year end – - the AHFS might be recorded at its carrying amount ($160 000 less accumulated depreciation) instead of fair value less cost to sale $108 784 (valuation).	**1** **1** **1** **1**

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	- Impairment loss of $6 216 ($115 000 - $108 784) might not be raised (valuation).	
	Maximum	**3**
	iv. Inventories	
	Inventories – • Might have been stolen since drugs are prone to theft (existence/valuation). • Medicines might have expired leading to inventories not recorded at the lower of cost and net realisable value – NRV (valuation). • Cost to bring medicines sourced from India and South Africa to its saleable state might not be capitalised to the cost of inventory as per IAS 2(completeness/valuation) • Inventory sourced from India and South Africa might be - recorded at incorrect spot rate, - recognised before loaded FOB (rights/occurrence), and - (with respect to inventory in transit) might not be recorded (completeness/valuation).	**1** **1** **1** **1** **1** **1**
	Maximum	**5**
	Other Valid Risks	**1**
f	**Describe the substantive procedures to be performed in respect of the 2018 audit of GoodLife for the following:** i. The **valuation** of the new MRI machine purchased from India; - **(10 marks)** ii. Asset held for sale; and – **(5 marks)** **iii.** Bond balances. – **(4 marks)**	**Marks**
General (items (i)-(iii))		
	Obtain signed management letter confirming the correctness of the assertions of all items in (i)-(iii).	**1**
	Obtain schedules of items (i-iii and • Inspect or scan the schedules for errors or unusual items (use CAATs). • Cast and cross cast the schedules to confirm mathematical accuracy thereof. • Agree the schedule to the general ledger, trial balance and financial statements.	**1** **1** **1**
	Perform analytical procedures	

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	• Compare the assessed useful lives of the assets used in prior year to the ones used in the current year and follow with management on any major differences • Compare this year`s amortisation/depreciation/interest received on bonds to prior year. • Follow up with management any misstatements or exception(s).	**1** **1** **1**
	Obtain Goodlife`s accounting policies in respect of items (i – iii), inspect current and prior year accounting policies and confirm that they have been applied consistently.	**1**
i.	**The new MRI machine purchased from India – (valuation)**.	
	Obtain the invoices of the MRI from Indian supplier as well as list of documents of all costs incurred to bring the MRI into the usable state. Inspect the invoices and • Compare/agree the costs on the invoices to the costs in the MRI schedule to confirm costs - were transferred at correct amounts, and - incurred to bring MRI into usable condition e.g. transport cost have been capitalised as per IAS 16 Inspect the bank account and confirm that the 100 million Indian Rupees was paid to the Indian supplier. Inspect the general journal for costs expensed that pertains to MRI purchases and discuss with management to confirm if the costs should be capitalised. Obtain the spot rate from a reputable financial institution when the MRI was loaded FOB (on the 1st of July 2017) and compare it to the one used by the management in the schedule. Reperform/recalculate the cost of MRI and the depreciation cost, and • For depreciation – Discuss with management on the process they follow when estimating useful life and residual value for reasonableness. • Agree/compare it to the management calculations - Follow up any discrepancies with the management. Discuss with the management the procedures they followed when testing the MRI for impairment for reasonableness and bias. Corroborate the above by inspecting the MRI for physical damage (possible indications of impairment).	**1** **1** **1** **1** **1** **1** **2** **1** **1** **1** **1** **1**
	Maximum	**10**
ii.	**Asset held for sale; and**	
	Discus with management how did they come up with the fair value less cost to sell for reasonableness.	**1**

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	If a management expert has been used or if not, consider his or her credentials and the possible need to hire an expert and do the following so that reliance can be placed on either or both experts' work; • Discus with the expert about his/her qualifications and experience, • Enquire from any professional body that the expert belongs about the expert`s qualifications and • Review any work/book/article(s) that the expert has done/written. • Discuss with the expert if he/she is independent of Goodlife. • Discuss key assumptions the expert used for reasonableness. Reperform the impairment on the day the assets were classified as held for sale and at year end and agree it to management`s schedule. Inspect the profit or loss and confirm that the impairment loss has been included.	**1** **1** **1** **1** **1** **1** **1**
	Maximum	**5**
iii.	**Bond balances.**	
	Inspect the bond certificate(s) and confirm • That they are in the name of Goodlife. • The terms of the bond e.g. maturity, coupon etc. Inspect the bank statement and confirm that the payment was made to RBZ in respect of bonds purchased (for new bonds). Inspect the bank statements for the coupon received from RBZ. Recalculate the • effective interest rate and the bond balances - and agree it to management`s schedule (follow up any differences). Discuss with management the process they follow when estimating ECLA for reasonableness and evidence that Goodlife do provide for ECLA as per IFRS 9.	**1** **1** **1** **1** **1** **1**
	Maximum	**4**
	Other Valid Procedures	**1**
g (ii)	**With reference to the stock count instructions provided:** **Describe the substantive procedures you would perform during the stock count over GoodLife's inventory balances – (10 marks).**	**Marks**
	Describe the substantive procedures you would perform during the stock count over GoodLife's inventory balances.	

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	Obtain the inventory schedule and • Use CAATs to inspect it for errors e.g. items with negative cost balance etc. • Cast the schedule to test the accuracy thereof. Perform analytical test as follows; • Express inventory as a percentage of cost of sales and compare it to the previous year. • Follow up with the chief pharmacist any discrepancies. • Also compare prior year and current year inventory balances and discuss with management an major differences Obtain the count instructions from the GoodLife's chief pharmacist to confirm that the count instructions do exist. • Observe the team performing the stock counts and confirm that they are following the count instructions. • Enquire as to how stock movements during the day are controlled and recorded in order to minimise the risk of error related to omitting stock that arrives on the day and including stock that was sold on the day. • Also enquire how count staff ensure that boxes and containers have the right contents. On sample basis conduct physical inspection of inventory items for damages/dust/expiry date and follow them to the inventory ledger and confirm that they have been recorded at the lower of cost and net realisable value (NRV). Select a sample of inventory items in the pharmacy and follow them through accounting records for completeness. From the inventory ledger select a sample of items using codes and inspect for them in the pharmacy for existence. From the inventory schedule, use CAATs to identify items that have been received for more than 6 months and follow them to the pharmacy and discuss with the chief pharmacist on the provision of possible allowance for obsolesce. Agree the count sheets to the balance in the system and follow up any discrepancies. Discuss with the chief pharmacist on the processes they follow when reconciling discrepancies between physical inventory and the balance in the system for reasonableness. Enquire the chief pharmacist of any inventory in transit he/she is aware of and any inventory that was incumbered.	**1** **1** **1** **1** **1** **1** **1** **1** **1** **1** **1** **1** **1** **1** **1**
	Maximum	**10**

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	Other Valid Procedures	**1**

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